Chapter Five

2020 Agri-Reforms: More Disruption than Real

The MSP system distorts the market for field crops. There are other mechanisms that also impact markets in agricultural produce.

ECA, by conferring administrative and discretionary authority on the Centre and states to place restrictions on trade, distribution and storage of agricultural commodities, does result in altering the market in agricultural produce. Adjustment in the customs duty levied on import and export of agricultural products is another instrument that enables the government to upend the markets.

The APMC laws of state governments makes the agriculture market an administered market rather than a free market. They create perverse incentives for state governments to tax agricultural produce transactions, ostensibly to pay for creation of infrastructure for agriculture. These laws also create perverse incentives for licensed traders and agents. All these interests disrupt the market.

Farmers must get good and remunerative prices for their produce. By nature, agricultural produce, especially if sold fresh or unprocessed, is a very difficult commodity. Developing the right market infrastructure, regulatory institutions and a regulatory system to handle it is tough, but necessary.

Indian agriculture is essentially small-holder agriculture. Farmers have no real pricing power. They mostly dispose of their produce instead of selling it. Mostly, farmers sow their field without any good idea of what prices they will receive or the prevalent demand-supply situation upon harvesting. The absence of a developed futures market in India exacerbates the situation. Farmers are usually guided by hindsight, what they got for